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BE103/512

THE UNIVERSITY OF HONG KONG
FACULTY OF BUSINESS AND ECONOMICS

[PMWM7013] [Tax Planning]

GENERAL INFORMATION

Instructor: Professor Berry Hsu

Email: bhsu@hku.hk
Office:
Phone:
Consultation times:

Tutor: TBD
Pre-requisites: N/A
Co-requisites: N/A
Mutually exclusive: NIL

Course Website: MOODLE
Other important details:

COURSE DESCRIPTION

This course provides a detailed introduction and analysis of tax strategies, regulations, and compliance for high-net-worth individuals. This course aims to equip students with the necessary knowledge and skills to effectively navigate the complexities of tax planning for wealthy individuals and their families. The course covers essential topics such as income tax minimization, capital gains tax management, wealth transfer strategies, international tax planning, and the use of insurance, trusts, and other legal structures. Students will also examine the role of tax havens, tax treaties, and various tax-efficient investment vehicles in optimizing the tax position. The course will emphasize the importance of ethical considerations, regulatory compliance, and risk management in tax planning, while fostering a strong understanding of the changing tax landscape and its impact on financial planning.

COURSE OBJECTIVES

1. Understand tax strategies for high-net-worth individuals (HNWIs) by analyzing key tax planning concepts and techniques tailored to wealthy individuals and families, with a focus on the ethical aspects of taxation.
2. Apply income and capital gains tax minimization strategies by evaluating legal methods to reduce taxable income and manage capital gains tax liabilities effectively.
3. Develop wealth transfer and estate planning techniques by assessing the use of trusts, insurance, and other legal structures for efficient wealth preservation and transfer.
4. Navigate international tax planning by analyzing cross-border tax implications (particularly between Mainland China and Hong Kong) tax treaties, and the role of tax havens in global tax optimization.
5. Utilize tax-efficient investment vehicles by identifying and comparing investment options that minimize tax exposure while maximizing returns.
6. Ensure regulatory compliance and risk management by recognizing ethical considerations, legal requirements, and potential risks in tax planning for HNWIs.
7. Adapt to evolving tax regulations by analyzing the impact of changing tax laws and policies on financial and estate planning strategies (particularly between Mainland China and Hong Kong).

Programme Learning Outcomes

PLO1: Acquisition of the techniques and advanced knowledge in the interdisciplinary fields of wealth management including but not limited to financial services, technology and law: Students should acquire techniques and advanced knowledge in the interdisciplinary fields of wealth management including but not limited to financial services, technology and law.

PLO2: Application and integration of interdisciplinary knowledge and skills to identify and tackle practical problems, and design innovative products and systems with international standards and global vision: Students should be able to apply and integrate interdisciplinary knowledge and skills in the fields of wealth management to identify and tackle problems, and design innovative products and systems with international standards and global vision.

PLO3: Inculcating leadership, professional ethics and competence in the interdisciplinary fields of wealth management: Students should demonstrate the capacity to recognize, understand and develop appropriate options in ethical and social issues in the interdisciplinary fields of investment and wealth management. In their learning experiences, they will be working in teams that promote leadership training and development of leadership traits. In addition, they are to adhere to and respect university regulations on academic conduct.

PLO4: Mastering communication skills: Students should be able to articulate in public and be able to make convincing and coherent presentations, write effectively and use specific technical terminology in the interdisciplinary fields of wealth management in contemporary presentation tools context.

COURSE LEARNING OUTCOMES

Course Learning Outcomes	**Aligned Programme Learning Outcomes**
CLO1 understand the tax system of Hong Kong.	PLO1
CLO2 address various issues and techniques tax planning and tax ethics.	PLO1&3
CLO3 develop wealth transfer and estate planning techniques.	PLO2
CLO4 apply international tax planning in professional practice.	PLO1&2
CLO5 the use of trusts, insurance, and other legal structures for wealth management.	PLO1&2
CLO6 understand regulatory compliance, tax ethics, and risk management.	PLO1&3

COURSE TEACHING AND LEARNING ACTIVITIES

Course Teaching and Learning Activities	**Expected contact hour**	**Study Load (% of study)**
T&L1. Lecture with interactive presentation	30 hours	30%
T&L2. Case-based study and analysis	30 hours	25%
T&L3. Self-study	42 hours	35%
T&L4 Group project	12 hours	10%
Total	114 hours	100%

Assessment Methods	Brief Description (Optional)	Weight	Aligned Course Learning Outcomes
A1. Group presentation A2. Take home examination A3. Class participation…	One presentation and a term paper Demonstrate most of the stated CLOs Attendance and discussion	30% 60% 10%	CLO1 to CL06
	Total	100%	

STANDARDS FOR ASSESSMENT

Course Grade Descriptors

A+, A, A-	• Demonstrate a strong understanding of all relevant knowledge • Handling questions professionally • High participation in discussions • Present arguments that have an element of originality • Achieve a standard of excellent performance in the exams with very accurate computation and very good analytical and problem solving skills • Excellent performance in assignments
B+, B, B-	• Demonstrate a good understanding of all relevant knowledge • Handling questions in a logical way • Good participation in discussions • Present arguments that go beyond the lecture and textbook • Achieve a standard of good performance in the exams with accurate computation and good analytical and problem solving skills • Good performance in assignments
C+, C, C-	• Demonstrate a basic understanding of the concepts involved • Fairly address questions as set • Some participation in discussions • Present arguments in a well-structure manner • Meet a standard of acceptable performance in the exams with reasonably accurate computation and acceptable analytical and problem solving skills • Acceptable performance in assignments
D+, D	• Demonstrate a minimum understanding of the concepts involved • Barely address questions as set • Minimal or no participation in discussions • Present arguments in a marginally acceptable manner • Meet a standard of marginally acceptable performance in the exams with some errors in computation and barely adequate analytical and problem solving skills • Marginally acceptable performance in assignments
F	• Demonstrate a poor understanding of the concepts involved • Unable or unwilling to handle questions • Minimal or no participation in discussions • Present arguments poorly • Fail to meet a standard of passing the exams with major errors in computation and inadequate analytical and problem solving skills • Poorly performance in assignments

Assessment Rubrics for Participation

A+, A, A-	• High participation in discussions • Always attend in-class discussions • Demonstrate a strong understanding of all relevant knowledge • Handling questions professionally • Present arguments that have an element of originality • Respect others and follow the class rules (no chatting and do not use cell phone)

B+, B, B-	・Good participation in discussions ・Often attend in-class discussions ・Demonstrate a good understanding of all relevant knowledge ・Handling questions in a logical way ・Present arguments that go beyond the lecture and textbook ・Respect others and follow the class rules (no chatting and do not use cell phone)
C+, C, C-	・Some participation in discussions ・Sometimes attend in-class discussions ・Demonstrate a basic understanding of the concepts involved ・Fairly address questions as set ・Present arguments in a well-structure manner ・Respect others and follow the class rules (no chatting and do not use cell phone)
D+, D	・Minimal or no participation in discussions ・Rarely attend in-class discussions ・Demonstrate a minimum understanding of the concepts involved ・Barely address questions as set ・Present arguments in a marginally acceptable manner ・Respect others and follow the class rules (no chatting and do not use cell phone)
F	・Minimal or no participation in discussions ・Almost never attend in-class discussions ・Demonstrate a poor understanding of the concepts involved ・Unable or unwilling to handle questions ・Present arguments poorly ・Behave poorly in class (often chatting with others, using cell phones, or being late)
Assessment Rubrics for Assignments and the Exam	
A+, A, A-	・Demonstrate a strong understanding of all relevant knowledge ・Present arguments that have an element of originality ・Achieve a standard of excellent performance in the assessments with very accurate computation and very good analytical and problem solving skills
B+, B, B-	・Demonstrate a good understanding of all relevant knowledge ・Present arguments that go beyond the lecture and textbook ・Achieve a standard of good performance in the assessments with accurate computation and good analytical and problem solving skills
C+, C, C-	・Demonstrate a basic understanding of the concepts involved ・Present arguments in a well-structure manner ・Meet a standard of acceptable performance in the assessments with reasonably accurate computation and acceptable analytical and problem solving skills
D+, D	・Demonstrate a minimum understanding of the concepts involved ・Present arguments in a marginally acceptable manner ・Meet a standard of marginally acceptable performance in the assessments with some errors in computation and barely adequate analytical and problem solving skills
F	・Demonstrate a poor understanding of the concepts involved ・Present arguments poorly ・Fail to meet a standard of passing the assessments with major errors in computation and inadequate analytical and problem solving skills

Assessment Rubrics for Each Assessment (Please provide us the details in a separate file if the space here is not enough)

Group presentations require students to demonstrate teamwork while preparing an innovative project.

Take-home examinations assess students' analytical skills and their achievement of the course learning outcomes.

Class participation encourages students to contribute new ideas.

COURSE CONTENT AND TENTATIVE TEACHING SCHEDULE

The teaching schedule balances theory, case studies, discussions, and practical applications:

Lectures 1 & 2:	Tax Planning and Techniques, Tax Obligations, and Tax Ethics: Overview of tax planning fundamentals for HNWIs.
Lecture 3:	Capital Gains Tax and Profits: Strategies to minimize capital gains taxes; The distinction between capital gains and profits; Group discussion on tax and ethics.
Lecture 4:	A Review of Mainland China and Hong Kong Tax Systems and Income and Capital Gains Tax Minimization Strategies: Explore legal ways to reduce taxable income.
Lecture 5:	Wealth Transfer & Estate Planning Techniques: Tools for intergenerational wealth transfer; trusts, wills, and gifting strategies; Different estate structures.
Lecture 6:	International Tax Planning & Tax Havens: Cross-border tax implications and offshore strategies (particularly between Mainland China and Hong Kong); Tax treaties, residency rules, and tax havens; Group discussion on ethics and legality of offshore tax planning.
Lecture 7:	Tax Efficient Investment Vehicles: Investment options that reduce tax exposure; REITs, ETFs, retirement accounts, and private equity; after tax returns of different investments.
Lecture 8:	Insurance & Trusts in Tax Planning: Using insurance and trusts for tax efficiency; Irrevocable life insurance trusts, annuities, and charitable trusts; Is dynasty trust necessary in Hong Kong?
Lecture 9:	Regulatory Compliance & Risk Management; Ethical Considerations: Avoiding legal pitfalls in tax planning; State Taxation Administration (Mainland China) and Inland Revenue Department (Hong Kong); audits, penalties, and compliance best practices; Group discussion on tax avoidance.
Lecture 10:	Revision and Group discussion.

REQUIRED/RECOMMENDED READINGS & ONLINE MATERIALS (e.g. journals, textbooks, website addresses etc.)

All course materials will be uploaded on MOODLE.

MEANS/PROCESSES FOR STUDENT FEEDBACK ON COURSE

- ○ conducting mid-term survey in additional to SETL around the end of the semester
- ○ Online response via Moodle site
- ✓ Others: ___SETL_____ (please specify)

COURSE POLICY (e.g. plagiarism, academic honesty, attendance, etc.)

Students are required to attend at least 70% of the classes for each course. Attendance will not be recorded if a student:

1. Arrives 30 minutes or more late, or
2. Leaves before the lecture ends.
3. Failure to meet the 70% attendance requirement will result in a failing grade for the course.

ADDITIONAL COURSE INFORMATION (e.g. e-learning platforms & materials, penalty for late assignments, etc.)